export goods in favour of high-quality products, especially for exports to capitalist markets in order to become more profitable.

In a few candid sentences, he complained that the GDR could not meet the demand for some of its high-quality exports, while other goods designated for overseas markets were of such shoddy quality that buyers could be found only with difficulty, or not at all. Importantly, as far as the home front was concerned, he warned exports would take precedence over the local consumer market, in order to draw foreign exchange.

Although the construction programme wasn't the watershed he'd hoped for, he stipulated it must provide for the restoration of older buildings rather than bulldozing them and erecting new structures. This move was partly prompted by a growing chorus of disapproval at the wholesale destruction and neglect of historic buildings across the country, especially in Berlin, Leipzig and Dresden.

At the end of his speech, Honecker was particularly anxious to dwell on the improvement in living standards, paying special attention to advances in worker safety, easy credit for newlyweds, the lengthening of vacations, pension increases and benefits for working mothers. He threw out a torrent of statistics to support his argument that things weren't so bad. For example, he noted that 69 per cent of the population had a net income of over DDM1,200 in 1979, compared to only 30 per cent in 1970. He catalogued the consumer durables purchased as a result of the pay increases: in 1970, 56 per cent of households had refrigerators, in 1979 almost 100 per cent; 54 per cent had washing machines at the beginning of the decade, compared to 80 per cent in 1979; while 69 per cent owned televisions in 1969, 90 per cent did by the end of the 1970s. The figures showed a great increase in family income, most of which was apparently soaked up by purchases of consumer durables, such as white goods, tools and furniture. However, by this time, demand for such products had fallen, as a report compiled by the American embassy in Berlin highlighted:

Once a family has one refrigerator, there is not much interest in buying a second one. So, the family upgrades its expectations and looks around for